



17 September 2022

Dear Sir,

Re: Section 194R of the Income Tax Act, 1961 ('the Act') applicability

This bears reference to the newly introduced Section 194R of the Act vide Finance Act, 2022.

As per Section 194R of the Act-

Any person responsible for providing to a resident, any benefit or perquisite, whether convertible into money or not, arising from business or the exercise of a profession, by such resident, shall, before providing such benefit or perquisite, as the case may be, to such resident, ensure that tax has been deducted in respect of such benefit or perquisite at the rate of ten per cent of the value or aggregate of value of such benefit or perquisite:

***Provided** that in a case where the benefit or perquisite, as the case may be, is wholly in kind or partly in cash and partly in kind but such part in cash is not sufficient to meet the liability of deduction of tax in respect of whole of such benefit or perquisite, the person responsible for providing such benefit or perquisite shall, before releasing the benefit or perquisite, ensure that tax required to be deducted has been paid in respect of the benefit or perquisite:*

Basis above, we would like to apprise you that Section 194R shall be triggered in case benefits or perquisite (such as gold coins, foreign travel, etc.) is provided to the recipient during the course of business or profession of such recipient in case it exceeds INR 20,000 in the relevant financial year.

In this regard, we would be deducting tax at source under Section 194R prior to providing the benefit or perquisite, subject to its applicability, with effect from 01 July 2022.

Should you require any further information, please let us know.

Yours faithfully,

For, Star Cement Limited
Authorized Signatory

STAR CEMENT LIMITED

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ISO 9001 : 2015, ISO 14001 : 2015 & ISO 45001 : 2018 CERTIFIED COMPANY

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